INTRODUCTION

Fiscal policy refers to the government's decisions about taxation and spending, whereas **monetary policy** refers to central bank activities that are directed toward influencing the quantity of money and credit in an economy. Fiscal policy involves the use of government spending and changing tax revenue to affect certain aspects of the economy, such as the overall level of aggregate demand. Government deficits are the difference between government revenues and expenditures over a period of calendar time. The fiscal tools available to a government include transfer payments, current government spending, capital expenditures, and taxes. Economists often examine the **structural budget deficit** as an indicator of a government's fiscal stance.

Learning Module Overview

- Fiscal policy refers to the government's decisions about taxation and spending.
- Monetary policy refers to central bank activities that are directed toward influencing the quantity of money and credit in an economy.
- The primary goal of both monetary and fiscal policy is the creation of an economic environment in which growth is stable and positive, and inflation is stable and low.
- Fiscal policy involves the use of government spending and changing tax revenue to affect certain aspects of the economy, including the level of economic activity in an economy, the distribution of income and wealth among different segments of the population, and the allocation of resources between different sectors and economic agents.
- The **budget surplus/deficit** is the difference between government revenue and expenditure for a fixed period of time, such as a fiscal or calendar year.
- There are several strong arguments both for and against being concerned about national debt relative to GDP.
- The fiscal tools available to a government include transfer payments, current government spending, capital expenditures, direct taxes, and indirect taxes.
- Taxes can be justified both in terms of raising revenues to finance expenditures and in terms of income and wealth redistribution policies.
- Fiscal policy tools seek to achieve or maintain an economy on a path of positive, stable growth with low inflation.
- Economists assess the structural (or cyclically adjusted) budget deficit as an indicator of the government's fiscal stance, which is defined as the deficit that would exist if the economy was at full employment.
- Actual government deficits may not be a good measure of fiscal stance because of the distinction between real and nominal interest rates and the role of inflation adjustment when applied to budget deficits.
- Fiscal policy cannot stabilize aggregate demand completely because the difficulties in executing fiscal policy cannot be completely overcome.

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